Return on Investment (ROI) Analysis: ERP Project for Al-Hamra Distribution

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1. Summary

If Al-Hamra's annual sales are PKR 100 crore, the ERP pays for itself about 13 months after the project starts, and over three years it returns PKR 12,752,000 more than it costs (a return of 123%). The result depends mainly on annual sales: below about PKR 38 crore, the ERP would not pay back within three years.

Two terms in plain words

- **Return on investment (ROI):** the money saved minus the money spent, divided by the money spent. An ROI of 123% means every PKR 100 spent returns PKR 123 on top.
- **Payback period:** the time until the savings add up to the total cost.

2. Assumptions

These are our working assumptions. In Phase 1 (Discovery) we replace them with Al-Hamra's real figures.

- Annual sales of PKR 1,000,000,000 (PKR 100 crore).
- 25 users at PKR 8,000 per user per month for the ERP licence.
- Savings start after go-live on 5 April 2027, so Year 1 counts 7 months of savings.
- Year 1 runs from 2 November 2026 to 31 October 2027; Years 2 and 3 follow.
- Costs exclude applicable taxes and the optional NexaBridge support plan (PKR 100,000 per month).
- A conservative case assumes the savings are only half as large.

3. Costs Over Three Years

The three-year cost is PKR 10,395,000. After the project, the main ongoing cost is the ERP licence, which Al-Hamra pays directly to the software provider.

Item	Year 1	Year 2	Year 3	3-year total
Project (includes the first 6 months of licences)	4,395,000	0	0	4,395,000
Licences after the project (25 users x PKR 8,000 per month)	1,200,000	2,400,000	2,400,000	6,000,000
Total cost (PKR)	**5,595,000**	**2,400,000**	**2,400,000**	**10,395,000**

The project cost includes a contingency of PKR 145,000. If it is not used, it is deducted from the final invoice and the three-year cost is PKR 145,000 lower.

4. Savings Per Year (Base Case)

In the base case, the ERP saves about PKR 8,960,000 a year, which is roughly 0.9% of annual sales.

Benefit	How we estimate it	Per year (PKR)
Fewer stock losses and less ageing stock	0.4% of annual sales	4,000,000
Fewer missed, duplicate or wrong orders and bills	0.2% of annual sales	2,000,000
Faster collection of customer payments	0.2% of annual sales	2,000,000
Staff time freed from manual reports and entry	4 staff x 40% of their time x PKR 50,000 per month x 12 months	960,000
Total		**8,960,000**

The ERP does not replace staff. It frees their time and prevents mistakes that extra manual staff would not fix, such as wrong stock figures and missed orders.

5. Three-Year Result

The base case breaks even about 13 months after the start (around November to December 2027); the conservative case breaks even after about 30 months. All amounts are in PKR, rounded to the nearest thousand.

Case		Year 1	Year 2	Year 3	3-year total
Both cases	Cost	5,595,000	2,400,000	2,400,000	10,395,000
Base	Savings	5,227,000	8,960,000	8,960,000	23,147,000
Base	**Net**	**-368,000**	**6,560,000**	**6,560,000**	**12,752,000**
Conservative	Savings	2,613,000	4,480,000	4,480,000	11,573,000
Conservative	**Net**	**-2,982,000**	**2,080,000**	**2,080,000**	**1,178,000**

The three-year ROI is 123% in the base case and 11% in the conservative case. Net means savings minus cost.

6. How Sensitive the Result Is to Annual Sales

The larger the company's sales, the larger the savings from fewer stock losses, errors and late payments. The table shows the base case at three sales levels (PKR, rounded to the nearest thousand).

Annual sales	Savings per year	3-year savings	3-year net	3-year ROI
PKR 50 crore	4,960,000	12,813,000	2,418,000	23%
PKR 100 crore (base case)	8,960,000	23,147,000	12,752,000	123%
PKR 150 crore	12,960,000	33,480,000	23,085,000	222%

The ERP breaks even over three years at annual sales of about PKR 38 crore, using the same percentages. Below that level, the ERP is not worth the cost, and we would tell you so honestly.

7. Notes and Next Steps

Benefits we have not counted

- Better decisions from reliable, real-time numbers.
- Tighter credit control and discount approval.
- Growth without hiring more staff for manual work.

Next steps

1. In Phase 1, we measure Al-Hamra's actual sales, stock losses, late payments and month-end effort.
2. We replace the assumptions in this document with those real figures.

3. We present the updated analysis in the Discovery report, which is due for sign-off on Friday, 27 November 2026.

All amounts exclude applicable taxes. The savings are estimates, not guarantees.